VARIATION AGREEMENT No. 2

THIS VARIATION AGREEMENT No. 2 is dated 22 July 2024

BETWEEN

(1) VARNHOLT AEROSTRUCTURES LIMITED (company number 07731846), Sinfin Lane Works, Calloway Road, Derby DE24 9GN (the "Buyer"); and

(2) QUELLCREST ROBOTICS LTD (company number 10482277), Unit 7, Tolland Park, Brackenhurst Road, Coventry CV3 4RZ (the "Supplier").

BACKGROUND

(A) The Buyer and the Supplier are parties to a Supply and Installation Agreement dated 14 March 2023, as varied by Variation Agreement No. 1 dated 9 January 2024 (together, the "Agreement").

(B) By its letter ref. QRL/VAR/EOT/004 dated 28 June 2024 the Supplier informed the Buyer that its sub-supplier had delivered the HSK-63 spindle drive units for Cells 5, 6, 7 and 8 late (the units were received on 20 May 2024 against a scheduled date of 15 March 2024), with consequential delay to the FAT of those Cells and to the FAT re-test of Cell 7, and requested an extension of the Planned Acceptance Dates for those Cells.

(C) The late delivery of the spindle drive units is not a Buyer Delay. The Buyer has nevertheless agreed to extend the Planned Acceptance Dates of Cells 5 to 8 in consideration of the Supplier extending the Warranty Period for those Cells, on the terms of this Variation Agreement.

(D) This Variation Agreement does not increase the Contract Price and is signed by the Contract Manager of each Party, each of whom is an Authorised Representative under clause 12.3 of the Agreement.

AGREED TERMS

1. Interpretation

   1.1 Terms defined in the Agreement have the same meaning in this Variation Agreement.

2. Extension of Planned Acceptance Dates

   2.1 The Planned Acceptance Date of each of Cells 5, 6, 7 and 8, as set out in Schedule 3 to the Agreement (as replaced by Variation Agreement No. 1), is extended by four (4) weeks.

six (6) weeks - amended GW / RT

"four (4)" struck through at signing - GW / RT 22/7

   2.2 The Planned Acceptance Dates of Cells 1, 2, 3 and 4 are not changed by this Variation Agreement.

   2.3 Liquidated Damages under clause 9 and Schedule 4 of the Agreement shall be calculated for Cells 5, 6, 7 and 8 by reference to the Planned Acceptance Dates as extended by clause 2.1.

3. Extended warranty

   3.1 Clause 15.1 of the Agreement shall apply to each of Cells 5, 6, 7 and 8 as if the reference to "twenty-four (24) months" were a reference to "thirty (30) months". Clause 15.4 shall apply to those Cells as if the reference to thirty-six (36) months were a reference to forty-two (42) months.

   3.2 The Warranty Period for Cells 1, 2, 3 and 4 is unchanged.

4. Settlement and reservation

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4.1 This Variation Agreement is in full and final settlement of any entitlement of the Supplier to an extension of time, or to any additional payment, arising from the matters described in Recital (B).

4.2 Save as set out in clause 4.1, nothing in this Variation Agreement constitutes an agreement or admission by either Party in respect of any other claim for an extension of time under clause 11 of the Agreement, including the Supplier's notice ref. QRL/VAR/EOT/003 dated 15 May 2024 concerning Bay 3, which the Buyer continues to dispute. All rights of both Parties in respect of that notice are reserved.

5. Continuation

5.1 Save as varied by this Variation Agreement, the Agreement continues in full force and effect.

6. Counterparts and law

6.1 This Variation Agreement may be executed in counterparts. It is governed by the law of England and Wales and clause 21 of the Agreement applies to any Dispute arising out of it.

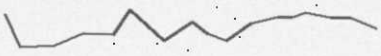
GW

RT

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SIGNED

For and on behalf of VARNHOLT AEROSTRUCTURES LIMITED

Signature: 

Name: Rhiannon Thorne

Position: Head of Manufacturing Engineering (Contract Manager)

Date: 22/7/24

For and on behalf of QUELLCREST ROBOTICS LTD

Signature: 

Name: Gary Whitlow

Position: Director - Projects (Contract Manager)

Date: 22/07/2024

Copy to DA / MF. Original to file - Contracts cabinet 3. RT

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